

Product Primer

This product primer summarizes the key benefits and limits of PRUSteady Income. It is a quick guide on the product created primarily for the use of Pru Life UK employees and distributors. While reasonable care was made in the preparation of this material, any omissions, deletions and/or statements inconsistent with the Policy Contract must be construed or rectified in favor of the Policy Contract. Should you wish to share this material with individuals who are not Pru Life UK employees or distributors, please seek prior written approval from the Product Management team.

I. Product Description

PRUSteady Income is a limited-pay 20-year non-participating endowment insurance plan that offers protection, and guaranteed cash payouts from the end of the eleventh (11th) policy year until the maturity of the policy if the insured is alive during the payout dates.

PRUSteady Income is payable for 5 or 10 years. It can be enhanced by attaching any of the available supplementary benefits or riders.

II. Product Position

PRUSteady Income is suitable for people who:

- want guaranteed protection regardless of market outlook,
- are looking for more financial protection and additional income stream for their children's education or retirement, or need guaranteed payouts in case of life emergencies or unexpected business-related expenses in a shorter period of time.

III. Product Features

Feature	Description
Product type	Limited-pay twenty (20) year traditional product
Benefit term	Up to 20 years
Life Insured Issue age	0 year (7 days) to 60 years old Note: Policyowner age must be at least 18 years old
Currency	Philippine Peso
Underwriting	Regular underwriting
Modes of Payment	Annual/semi-annual/quarterly/monthly
Payment Terms	5 or 10 years

IV. Benefits-related Information

Core Benefit		
Death benefit	200% of the Sum Assured plus any accumulated guaranteed payouts less any outstanding policy loans and interest will be payable in the event of death of the Life Insured before the maturity of the policy.	
	Child's Lien: If the Life Insured is below five (5) years old at the time of death, the Sum Assured, which is used as basis for the Guaranteed Death Benefit and Guaranteed Maturity Benefit, will be reduced in accordance with the following scale:	
	Age at time of death	% of Sum Assured Applied
	0	10%
	1	20%
	2	40%
	3	60%
4	80%	
Living Benefits		
Guaranteed Cash Payouts	The Company shall pay a lump sum benefit equivalent to the Guaranteed Payouts, amounting to 10% of the Sum Assured, beginning at the end of the eleventh (11th) policy year and on each subsequent policy anniversary until the maturity date. These payouts will be made provided that the Life Insured is alive on each policy anniversary when a payout is due. The Guaranteed Payouts may be reduced by any outstanding policy loans and accrued interest. This benefit may be paid in cash or left to accumulate with interest* at a rate set by the Company. Payouts paid in cash will also be decreased by any outstanding policy loan and interest. <i>*Interest rate is not guaranteed and may change from time to time, according to the Company's operating results and conditions.</i>	
Cash Values and Policy Loans	The policy accumulates cash values starting on the 2nd policy year. At any time a cash value is available, the Policyowner may apply for a loan up to a maximum of 80% of the cash value. The loan will be charged interest at a rate set by the Company. The amount of loan, together with the interest, is payable on or before the next policy anniversary. If the loan remains unpaid by then, both loan and interest become a new loan on which interest will be charged at the rate in effect on that date.	
Surrender Benefit	Upon surrender of the policy, the available cash value plus any accumulated payouts and interest, less any outstanding policy loans and interest at the time of surrender will be payable to the Policyowner.	
Maturity benefit	100% of the Sum Assured plus any accumulated payouts and interest, less any outstanding policy loans and interest will be payable if the Life Insured survives the policy maturity at Year 20.	
Optional benefits or riders For full details of the following riders, please refer to Section VI: Rider Information of this primer		
Accident and disability	▪ Total and Permanent Disability Plus ▪ Accidental Death and Disablement Benefit	
Waiver of premium	• Waiver of Premium on TPD • Payor Waiver of Premium Benefit	

V. Premium and Sum Assured-related Information

Premium Type	Level Premium <i>The premium rate of the basic coverage remains the same throughout the entire premium-paying period of the life insurance policy.</i>
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Allowable Sum Assured (SA)	Minimum SA		Maximum SA									
	PhP 200,000.00		No limit (but subject to underwriting and reinsurer review and approval)									
Policy fee	PhP 400 per year (modal factor applies) <i>Premium is inclusive of policy fee.</i>											
Mode of payment	Annual/Semi-Annual/Quarterly/Monthly											
Modal factors	<table><tr><td>Annual</td><td>Semi-Annual</td><td>Quarterly</td><td>Monthly</td></tr><tr><td>1</td><td>0.525</td><td>0.285</td><td>0.0975</td></tr></table>				Annual	Semi-Annual	Quarterly	Monthly	1	0.525	0.285	0.0975
Annual	Semi-Annual	Quarterly	Monthly									
1	0.525	0.285	0.0975									
Method of payment	• Credit/Debit card • Mobile wallet/GCash • Checks • Bank transfer/Fund** • Bills payment/Bayad Centers* *Applicable for renewal/recurring payments only **Payments should be made directly to Pru Life UK’s bank account only.											

VI. Rider Information

The succeeding rider or optional benefits are on top of the core benefits of the plan found in section IV.

Total and Permanent Disability (TPD) Plus	
Benefit	The TPD Plus benefit pays the benefit amount if the life insured becomes totally and permanently disabled due to bodily injury or disease for a continuous period of 6 months. This benefit is payable only if the disability occurs before the policy anniversary immediately following the Life Insured's 70th birthday and prior to the expiry of the rider.
Issue age	5 to 65 years old
Premium Payment Term	a. Premium payment term chosen for the base plan, or b. Expiry age (70) – life insured's age, whichever is shorter
Benefit term	a. 20 years, or b. Up to Age 70 of the life insured, whichever is shorter
Minimum SA	PhP 100,000
Maximum SA	100% of basic Sum Assured
Cash Values	This rider has cash values but are not loanable.
Accidental Death and Disablement	
Benefit	The ADD benefit pays the benefit amount on top of the basic Sum Assured if the Life Insured dies due to accident within one hundred and eighty (180) days of the accident before the policy anniversary immediately following the 73rd birthday of the Life Insured and before expiry of the rider. If the Life Insured sustains Injury which results in any of the losses listed below within one hundred eighty (180) days of the Accident, and the Accident occurs before the policy anniversary immediately following the 73rd birthday of the Life Insured and before the expiry of the rider, the Company pays a specified percentage of the Accidental Death and Disablement Benefit according to the Schedule of Coverage.
Issue age	5 to 65 years old
Premium Payment Term	a. Premium payment term chosen for the base plan, or b. Expiry age (73) – life insured's age, whichever is shorter
Benefit term	a. 20 years, or b. Up to age 73 of the life insured, whichever is shorter
Minimum SA	PhP 100,000

Maximum SA	Minimum (10 x basic Sum Assured, PHP 10M)
Cash Values	This rider has cash values but are not loanable.
Waiver of Premium on TPD	
Benefit	If the Life Insured becomes Totally and Permanently Disabled due to bodily injury or illness, and the disability occurs before the policy anniversary immediately following the Life Insured's 60th birthday and prior to the Expiry Date of this Benefit, all future premiums falling due after the commencement of the disability will be waived. This waiver will continue for the duration of the Total and Permanent Disability, up to the end of the premium payment term. The premiums of the following benefits will be waived: - Basic Plan - Accidental Death and Disablement Rider
Issue age	18 to 59 years old
Premium Payment Term	- Premium payment term chosen for the base plan, or - Expiry age (60) – life insured's age, whichever is shorter
Benefit term	- Premium payment term chosen for the base plan, or - Up to age 60 of the life insured, whichever is shorter
Cash Values	This rider has no cash values.
Payor Waiver of Premium Benefit	
Benefit	This benefit waives all future regular premiums in the event of the death or Total and Permanent Disability of the Payor, provided such event occurs before the policy anniversary immediately following the Life Insured's 25th birthday or the policy anniversary immediately following the Payor's 65th birthday, whichever is earlier. This benefit waives the premiums of the following: - Base Plan - Accidental Death and Disablement (ADD) - Total and Permanent Disability Plus (TPD Plus)
Issue age	Life insured: 0 to 17 years old
	Payor: 18 to 59 years old
Premium Payment Term	- Premium payment term chosen for the base plan, or - Expiry age for Life Insured (25) – life insured's age, or - Expiry age for Payor (65) – life insured's age
Benefit term	Up to age 25 of the life insured, or Up to age 65 of the Payor, Whichever comes first.
Cash Values	This rider has no cash values.

VI. Other Features

Non-forfeiture Option	If any premium due are left unpaid beyond the due date and until the end of the Grace Period, the chosen Non-Forfeiture Option will be applied. If there is no specific option elected, the default Non-Forfeiture Option will be the Automatic Premium Loan (APL). The available Non-Forfeiture Options are: Option 1: Net Surrender Value - The policy may be surrendered for its Net Surrender Value which is the cash value plus any accumulated payouts, less any indebtedness. The policy will terminate upon surrender. Cash values of TPD Plus and ADD are also paid to the Policyowner. The policy will terminate upon surrender. Option 2: Reduced Paid-Up Insurance - Policy may be continued without further premiums as a non-participating Reduced Paid-Up Insurance with a reduced Sum Assured that is equal to the Sum Assured amount that the cash value less any outstanding policy loan and interest would have purchased at the age of the Life Insured at the time of application of this option, but not to exceed the original Sum Assured. If the RPU Sum Assured is greater than the original Sum Assured, any excess cash values and payout benefit accumulation will be refunded to you upon conversion to RPU. After conversion to RPU, the death benefit is equal to 200% of the RPU Sum Assured, while the maturity benefit is equal to 100% of the RPU Sum Assured. Additionally, future guaranteed payouts will be based on 10% of the RPU Sum Assured and will be payable at the original schedule and frequency, as long as the Life Insured is alive at each payout date. Option 3: Extended Term Insurance - Policy may be continued without further premiums as a non-participating Extended Term Insurance with a level ETI Sum Assured equal to 200% of the original Sum Assured less any outstanding policy loan and interest under this Policy. The duration of the ETI corresponds to the period of insurance coverage that would have been purchased by the cash value less any outstanding policy loan and interest at the attained age of the Life Insured at the time of the application of this option. If the cash value less any outstanding policy loan and interest is more than enough to continue the ETI until the Policy Maturity Date, any excess cash values and payout benefit accumulation will be refunded to you upon conversion to ETI. The guaranteed payouts will cease upon conversion to ETI. Subject to your consent, any payout benefit accumulation may be added to the cash value used during conversion to ETI (or RPU) Option 4: Automatic Premium Loan - Any premium due remaining unpaid at the end of the grace period is automatically paid as policy loan from the remaining cash value which earns interest and is compounded every policy anniversary.
Reinstatement	If the Policy terminates due to non-payment of premiums or due to overloan after the premium-paying period, the Policyowner may apply to reinstate it within three (3) years from the due date of the premium in default or from the date the policy lapsed due to overloan if: ✓ the Policy has not been surrendered for cash or converted to an Extended Term Insurance which has expired; and ✓ the Policyowner gives us satisfactory evidence of the health of Life Insured at the Policyowner's own expense and pays the required amount. • If termination is due to non-payment of premiums, the Policyowner has to pay all the required premiums in arrears. • If termination is due to overloan, you will be required to pay your loan balance. ✓ Company reserves the right to charge interest on overdue premiums or Loans. The Expiry Date of the Premium Payment Term as shown in the Policy Data Page will not be changed.

VII. Important Provisions

Grace Period	If the policyowner fail to pay the premium, they are given 31 days from the due date to make such payment. If no payment was received after the grace period, the selected NFO shall apply. If there are no selected NFO, the Non-forfeiture Option of Automatic Premium Loan (APL) will apply. Otherwise, the policy will lapse if there is no available cash value to pay for the premium due.
Conditions when death benefit may not be payable	If within the contestability period, i.e., within the first 2 years from Policy and/or Benefit Effectivity Date or date of last reinstatement, any of the following occurred: a) Suicide (not due to insanity), b) Concealment or misrepresentation at the time of application, or c) Fraud was committed at the time of application.
Conditions when the policy terminates	The policy terminates upon the occurrence of any of the following: • On the Policy Maturity Date, or • In the event of the death of the life insured, or • Upon failure to pay premiums due within the Grace Period and while the Policy has no cash value, or • Upon approval by the Company of the availment of Net Surrender Value Option, or • When the Policy Lapses, is surrendered, or otherwise terminated, whichever occurs first.

For other policyowner options, please refer to the PRUsteady Income Policy Booklet.

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